

22/11/20

Introduction

I Short Answer Questions:

- Q1 Define economics? And distinguish between positive and normative economics.
- Q2 Define economy and briefly explain different types of economics.
- Q3 Why do the economic problems arise explain the reason associated with it?
- Q4 Distinguish between micro & macro economics.

II Long Answer Questions:

- Q1 Explain in detail the central problem of an economy.

Solution of Short Answer Questions:-

- 1-Ans Economics is the study of wealth, economy and money. Following points distinguish between positive and normative economics:-

Positive Economics	Normative Economics
* It deals with what is or how the economic problems are actually solved.	* It deals with what ought to be or how the economic problems should be solved.
* It can be verified with actual data.	* It cannot be verified with actual data.
* It aims to make a real description of an economic activity.	* It aims to determine the ideals.

- 2-Ans An economy is a system which provides people, the means to work and earn a living. The following are different types of economies:

- * Market economy: Decisions by buyers & sellers, profit motive.
- * Command economy: Government controls production & distribution.
- * Mixed economy: Combined private enterprise with state regulation.
- * Traditional economy: Customs & Traditions guide economic activities.

- 3-Ans The following are the main reasons of economic problems:-

- * Scarcity of Resource: Resources are limited in relation to their demand and the economy cannot produce all that people want.
- * Unlimited Human wants: Human wants are never-ending, i.e. they can never be fully satisfied.
- * Alternate use: Resources are not only scarce, but they can also be put to various uses. It makes choice among resources more important.

Microeconomics	Macroeconomics
* It is a part of economic theory which studies the behaviour of individual units of economy.	* It is a part of economic theory which studies the behaviour of aggregates of economy as a whole.
* Demand and Supply.	* Aggregate Demand & Aggregate Supply
* It aims to determine price of a commodity or factors of production.	* It aims to determine income and employment.

Solution of Long Answer Question:-

1- Ans The central problem of an economy arises because resources are limited while human wants are unlimited. Every economy must solve three basic questions:

1. What to produce: Choosing goods and services based on needs and priorities.
2. How to produce: Deciding production methods - labour-intensive or capital intensive - using scarce resources efficiently.
3. For whom to produce: Determining distribution among different sections of society.

These problems exist in all types of economies - market, command, mixed, or traditional. The aim is to achieve maximum satisfaction of wants with minimum use of resources, ensuring growth and social welfare.

14/4/16

Q-1 Explain the concept of 'Opportunity cost.'

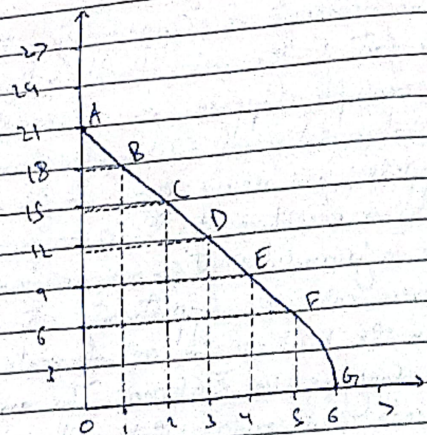
Ans Opportunity cost is the cost of next best alternative foregone. For example, suppose you are working in a bank at a salary of ₹70,000 per month. Further suppose, you receive two more job offers:
 * To work as an executive at ₹60,000 per month; or
 * To become a journalist at ₹65,000 per month.
 In the given case, the opportunity cost of working in the bank is the cost of next best alternative foregone, i.e. ₹65,000. The amount of other goods and services, that must be sacrificed to obtain more of any one good, is called the opportunity cost of that good.

Q-2 How do we solve the central problem of the Economy? Explain it with the help of graph and schedule.

Ans Due to scarcity of resources, we cannot satisfy all our wants. Thus, society must decide, what to produce out of an almost infinite range of possibilities. Economists have traditionally represented this range of choices by what they call a 'Production Possibility schedule' when this schedule is graphically represented, it is called 'Production Possibility Frontier (PPF)' or 'Production Possibility Curve (PPC)'.

For Ex-

Possibility	Guns	Butter	MOC	MRT
A	21	0	-	-
B	20	1	1	1:1
C	18	2	2	2:1
D	15	3	3	3:1
E	11	4	4	4:1
F	6	5	5	5:1
G	0	6	6	6:1



Q3 what is MOC?

Ans It refers to the number of units of a commodity sacrificed to gain one additional unit of another commodity.

Q4 what is MRT?

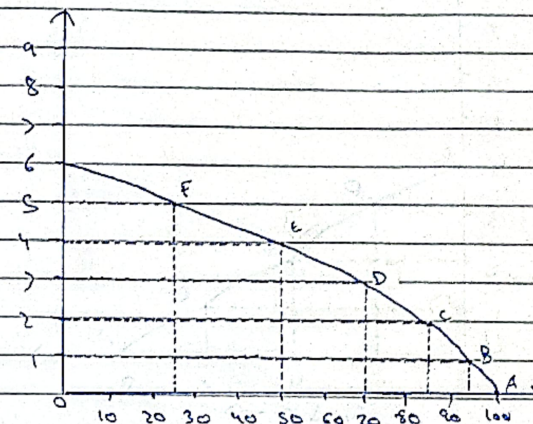
Ans It is the ratio of number of units of a commodity sacrificed to gain an additional unit of another commodity.

Unsolved Practicals

1- Ans ₹ 15000

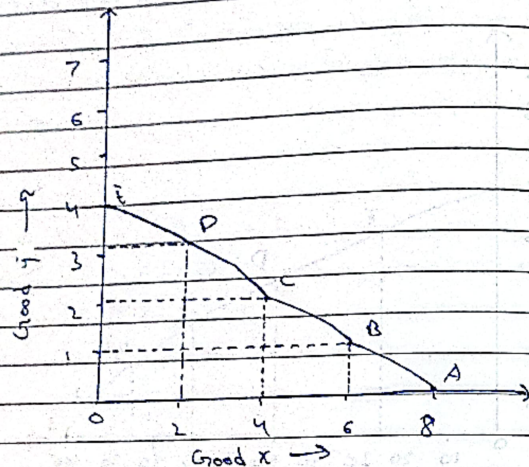
3-solve

Possibilities	Good A	Good B	MOC	MRT
A	0	100	-	-
B	1	95	5	5:1
C	2	85	10	10:1
D	3	70	15	15:1
E	4	50	20	20:1
F	5	25	25	25:1



4-sol

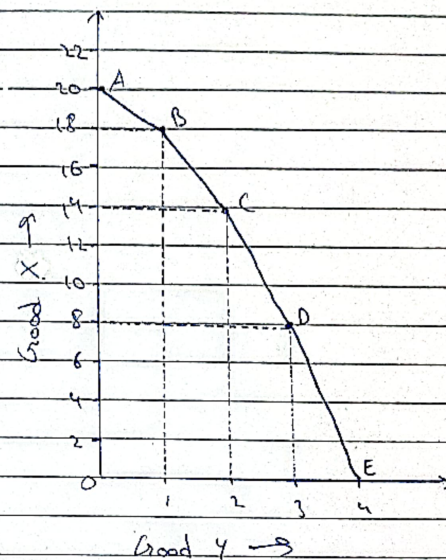
Possibilities	Good x	Good y	MOC	MRT
A	0	8	-	-
B	1	6	2	1:2
C	2	4	2	1:2
D	3	2	2	1:2
E	4	0	2	1:2



According to the data, MOC and MRT are constant, so the PPC would be downward sloping straight line.

5-sol

Possibilities	Good x	Good y	MOC	MRT
A	0	20	-	-
B	1	18	2	1:2
C	2	14	4	1:4
D	3	8	6	1:6
E	4	0	8	1:8



According to the data, MOC and MRT are increasing, therefore PPC will be downward sloping and concave to the origin.